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I think opening up of food retail, doing something about the huge retail margin and something specific to address it would have been really welcome.

stood—if you look at the Budget at a glance, there is a footnote that at current prices GDP will grow by 12.5 per cent. In the Economic Survey, they said that the economy would grow at 8.5 per cent. Inflation is assumed at 4 per cent. That is surprising unless he is hoping that serendipity will bring it down or he believes anything that goes up has to come down because the base has come down.

Goyal: That's the official view, that food prices will come down.

Ranade: There is a potential possibility here that the Government could inflate

and September, our WPI (Wholesale Price Index) was almost zero. And the base effect will not be there. So, really the WPI will shoot up during the time. And I don't think that the rabi crop will bring down food price inflation because it is not going to compensate kharif crops.

Aiyar: Essentially, you are saying that even if inflation is controlled it will move up statistically. And that happens to be just around the Bihar polls.

WHAT ABOUT REFORMS?

Is there any vision or is it just revision?

Roy: Some of the things that have been done are in the right direction and there is no doubt about it. There could have been a little more focus on capital expenditure, particularly if you look at planned capital expenditure. Because at the end of the day whatever you do in terms of capital formation, particularly in agriculture and other areas, private investment always gets linked to public investment so there is a very strong linkage. The second thing is that since the Parikh Committee Report is already there on table and no decision has been taken on it, this increase in petroleum prices should not have happened at this time because it is going to have an overall inflationary impact across the economy. It's not a Re 1 increase or entire package of Rs 2.70 or so. If the transportation sector is affected in general and on top of it you have taxes on railway freight, all these things put together will have a very strong inflationary potential which could have been avoided at this time.

Ranade: The larger vision and reforms are in the 13th Finance Commission Report. He could have announced FDI in insurance, FDI in retail; those policies could have been mentioned. Since he has already talked of entry of new banks, he could have made an announcement of what to do of capital shortage in public sector banks. Most of the public sector banks are stuck at 51 per cent so they have exhausted the limit. Perhaps this was the time to articulate the roadmap ahead. I think Dr Rangarajan has suggested that we could go down to 33 per cent. That was something he could have done. He has spoken about coal sector reforms but he should have been bold to expand it to mineral policy reforms.

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The weakness is in implementation. The ideas are there, the thrust is there but there is need for focus. There are areas which require reforms—reducing bureaucratic hurdles and delays.”

ASHIMA GOYAL
Professor, IGIDR

away the deficit. The actual GDP will probably grow higher so the projected fiscal deficit will come down.

Goyal: I think they are losing political capital, raising petrol prices and duty. They should have done it for restructuring subsidies which leads to protest and they have done it at a time when food prices are very high. It shows very poor thinking or strategising. This time there was no election; normally they are very concerned about inflation as that is politically sensitive topic. This time it seems that we want growth and are complacent about inflation. They believe it is comparative price and it will come down, won't affect aggregate inflation.

Kumar: Statistically, it is an interesting situation for the Government. Between July